II

As I talked to people around the country, I discovered that as inflation came down and banks lowered deposit rates, savers were unhappy – even though inflation had fallen much more than the rates on deposits. Earlier, they argued, they got paid 10 per cent on their fixed deposits at banks, now they got 8 per cent. Was that fair? I had to explain that it was indeed, because inflation had come down faster, so the real returns (in terms of goods and services they could purchase) on their savings were now higher. To illustrate the point, I gave way to my inner teacher in the C.D. Deshmukh Lecture delivered at the NCAER in January 2016. The press soon termed this 'Dosanomics', though it was really just an example.

Dosanomics

Industrialists grumble about high rates while retirees complain about the low rates they get today on deposits. Both overstate their case, though, as I have said repeatedly, the way to resolve their differences is to bring CPI inflation steadily down.

The typical letter I get (from the retiree) goes, 'I used to get 10 per cent earlier on a one-year fixed deposit, now I barely get 8 per cent', please tell banks to pay me more else I won't be able to make ends meet'. The truth is that the retiree is getting more today but he does not realize it, because he is focusing only on the nominal interest he gets and not on the underlying inflation which has come down even more sharply, from about 10 per cent to 5.5 per cent.

To see this, let us indulge in Dosa economics. Say the pensioner wants to buy dosas and at the beginning of the period, they cost Rs 50 per dosa. Let us say he has savings of Rs 1,00,000. He could buy 2,000 dosas with the money today, but he wants more by investing.

At 10 per cent interest, he gets Rs 10,000 after one year plus his principal. With dosas having gone up by 10 per cent in price to Rs 55,